"Familiarity with different [business] models is key."

Abdo Riani, www.forbes.com, 2019

Franchise

Big successful companies (franchisors) allow private individuals (franchisees) to buy the right to trade under their brand, using their systems, and sell their products or services. It is a way of buying into an established business (see pp.30–31).

Licensing

This model allows companies (licensors) to commercialize their intellectual property by licensing their designs, products, or services to others (licensees) in return for a fee, while retaining ownership (see pp.206-207).

"Freemium"

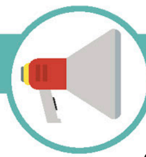
Some companies attract customers by offering a free product or service and the option of a paid-for superior version. LinkedIn, for instance, offers a free networking platform or a paid-for version with advanced features.

Subscription

Customers pay a regular fee (membership fee) to access content, products, or services. Many gyms, dating agencies, online classes, and software and media companies, such as Netflix and Sky TV, use this model.

"Bait and hook"

Also known as the razor blade model, this works by selling a basic durable product, such as a printer, at a low price to encourage ongoing sales of essential components, such as ink cartridges, sold at premium prices.



Advertisement

To sell advertising space, a company creates entertaining copy, music, video, or other content, to attract a large targeted audience to a publication or platform, where other businesses will then pay to advertise their products.

Agency/brokerage

Agencies connect buyers with sellers and earn a transaction fee from one or the other, or both. Users of this model include estate agents and financial advisors, who earn a commission based on the value of the transaction.

Affiliate

Most website owners use this model to make money. They invite retailers to promote their products on the website and receive a commission from the retailer when a customer buys a promoted product.